

CHAPTER-TWO

LAW OF CONTRACT

What is Contract?

"An Agreement enforceable by law is a contract". Therefore in a contract there must be.....

- **an agreement and**
- **the agreement must be enforceable by law.**

**“All Contracts are Agreements but all
Agreements are not Contracts”**

Essential Elements of Contract

1. Offer and Acceptance
2. Intention to create Legal Relationship
3. Lawful Consideration
4. Capacity of Parties
5. Free Consent
6. Legality of the Object
7. Certainty
8. Possibility of Performance
9. Void Agreements
10. Writing, Registration and Legal Formalities

Void and Voidable Agreement

An agreement which does not satisfy the essential elements of a contract may be either void or voidable.

Void Agreement

"An agreement that is not enforceable by law is said to be void."

❖ Examples of Void Agreement:

- An agreement made by a minor**
- Agreements without consideration**
- Certain agreements against public policy**

Voidable Agreement

"An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a voidable contract."

Examples of Voidable Agreement

❖ Examples of voidable contracts:

- Contracts brought about by coercion
- Undue influence
- Misrepresentation etc.

'X' coerces 'Y' into entering into a contract for the sale of 'Y's house to 'X' this contract can be avoided by 'Y'. 'X' cannot enforce the contract. But 'Y' if he so desires, can enforce it against 'X'.

Formation of Contract

All contracts are made by the process of a lawful offer by one party and the lawful acceptance of the offer by the other party.

What is offer?

An "offer" involves the making of a "proposal". The promisor or the person making the offer is called the offeror. The person to whom the offer is made is called the offeree.

Rules Regarding Offer

1. An offer may be express or may be implied from the circumstances.
2. An offer may be made to a definite person; to some definite class of persons; or to the world at large.
3. Legal relationship is required.
4. The terms of the offer must be certain, definite, unambiguous and not vague.
5. A mere statement of intention is not an offer.
6. An offer must be communicated to the offeree.
7. An offer may be conditional.
8. Printed Contracts.

What is Acceptance?

When the person to whom the offer is made signifies his assent thereto, the offer is said to be accepted.

❖ Example: 'X' sold his business to 'Y' without disclosing the fact to his customers. 'Z' sent an order for goods to 'X' by name. 'Y' received it and sent a letter of acceptance. Held, there was no contract between 'Y' and 'Z' because 'Z' never made any offer to 'Y'.

Rules Regarding Acceptance

1. It must be an absolute and unqualified acceptance of all the terms of the offer.
2. Conditional Acceptance.
3. The acceptance must be expressed in some usual or reasonable manner.
4. Mental acceptance or uncommunicated assent does not result in a contract.
5. The mode of acceptance.
6. Time of Acceptance.
7. When acceptance is complete.
8. Before Offer.

What is Consideration

Consideration means some right, interest, profit or benefit accruing to one party, or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other."

❖ Example: 'P' agrees to sell a house to 'Q' for Tk. 80000. For 'P's promise, the consideration is Tk.80000, For 'Q's promise, the consideration is the house.

Types of Consideration

1. **Past Consideration:** 'X' does some work for 'Y' in the month of January (without expecting any payment). In February 'Y' promises to pay him some money. The consideration of 'X' is past consideration.
2. **Present/Executed Consideration:** 'B' buys an article from a shop and pays the price immediately. The consideration moving from 'B' is present or executed consideration.
3. **Future/Executory Consideration**

Rules Regarding Consideration

1. Desire (or request) of the promisor is essential.
2. The consideration must be real.
3. Public duty.
4. Consideration need not be adequate.
5. The consideration must not be illegal, immoral, or opposed to public policy.
6. The consideration may be present, past, or future.
7. Consideration may move from the promisee or from any other person.

"No Consideration No Contract" Exceptions to the Rule

- 1. Natural love and affection[Sec-25(1)]**
- 2. Voluntary Compensation[Sec-25(2)]**
- 3. Time-barred debt[Sec-25(3)]**
- 4. Agency(Sec-185)**
- 5. Guarantee (Sec-127)**
- 6. Charity or Donation**
- 7. Completed gift.**

Methods of Termination or Discharge of Contracts

- 1. Termination by Performance**
- 2. Termination by Mutual Agreement**
- 3. Subsequent or Supervening Impossibility**
- 4. Termination by Operation of Law**
- 5. Termination by Limitation/Lapse of Time**
- 6. Termination by Material Alteration**
- 7. Termination by Breach of Contract**